

10. 9:00 AM CASE NUMBER: C25-00271
CASE NAME: PRAVEEN GUPTA VS. CONTRA COSTA COUNTY
*HEARING ON MOTION IN RE: STRIKE PORTIONS OF PLTFS 1ST AMENDED COMPLAINT
FILED BY: CONTRA COSTA COUNTY
TENTATIVE RULING:

Please see Line 9.

11. 9:00 AM CASE NUMBER: C25-01753
CASE NAME: HAROLD KUSHINS VS. JAY UTAL
HEARING ON DEMURRER TO: COMPLAINT
FILED BY:
TENTATIVE RULING:

Defendant Kenneth Walker ("Defendant") brings the instant demurrer to the complaint of plaintiffs Harold Kushins, Michelle Kushins, A. Timothy Gamber, Helen Kwong, Susan Kwong, Ann Norton, Douglas Norton, and William Walls ("Plaintiffs"). Plaintiffs' complaint asserts three causes of action against Defendant: (1) breach of fiduciary duty; (2) negligence; and (3) fraud. (Complaint, pp. 6-8, ¶¶ 25-43.) Defendant argues that that Plaintiffs' complaint fails to state facts sufficient to constitute a cause of action. (Demurrer, p. 3.)

For the reasons discussed below, the Court's tentative ruling is to **OVERRULE** Defendant's demurrer as to the second cause of action for breach of fiduciary duty and the fourth cause of action for negligence and **SUSTAIN** Defendant's demurrer as to the third cause of action for fraud. Plaintiffs may file and serve an amended complaint within 10 days of notice of entry of this order. (Code of Civ. Proc. (CCP), § 472b; California Rules of Court (CRC), rule 3.1320(g).)

Meet and Confer

The meet and confer requirement has been satisfied. (Tom R. Normandin Supp. Decl., ¶¶ 1-2; CCP, § 430.41, subd. (a)(3)(B).)

Legal Standard for Demurrer

In ruling on a demurrer, a court must treat as true all properly pleaded material facts contained in the complaint, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "We also accept as true facts which may be inferred from those expressly alleged." (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405.) A demurrer challenges "the sufficiency of the allegations in a complaint as a matter of law," not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Id.* at pp. 1404-1405.)

Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a "court will not consider facts which have not been alleged in the complaint unless they may be reasonably inferred from the matters which have been pled or are proper subjects of judicial notice." (*Hall v.*

Great W. Bank (1991) 231 Cal.App.3d 713, 718, fn.7.) “[A]t the demurrer stage the complaint must be construed in the light most favorable to the plaintiff.” (*Wilson v. Houston Funeral Home* (1996) 42 Cal.App.4th 1124, 1138.)

Background: Facts Alleged in Complaint

On June 20, 2025, Plaintiffs filed the operative complaint in this matter, which alleges claims against Defendant for breach of fiduciary duty, negligence, and fraud.

In early 2021, defendants Manning-Nextbay LLC (“Nextbay”) and Jay Utal (“Utal”), developed a plan to build houses and associated infrastructure on about 32.1 acres of land (the “Property”), most of which was located in Richmond, California. (Complaint, ¶ 6.) On April 6, 2021, Nextbay and Utal submitted a development plan to the City of Richmond for the Property. (*Id.* at ¶ 7.) Also on April 6, 2021, the city of Richmond changed the zoning of the Property from residential hillside to hillside open space. (*Id.* at ¶ 8.) On May 13, 2021, Nextbay and Utal and several others, filed a petition for writ of mandate in Contra Costa Superior Court seeking to overturn the zoning change (the “Lawsuit”). (*Id.* at ¶ 9.) In the Lawsuit, Nextbay and Utal argued that unless the zoning change was reversed, the Property would be useless and worthless. (*Ibid.*) None of the defendants in this matter informed Plaintiffs of the Lawsuit. (*Id.* at ¶ 10.)

Around September 2021, Defendant, on behalf of co-defendant Sun Pacific Mortgage and Real Estate, hired CBRE, which hired Timothy O’Reagan, to prepare an appraisal for the Property to be used in evaluating the risk for Plaintiffs’ investment. (Complaint, ¶ 11.) The appraisal did not mention the Lawsuit but did discuss the zoning change and in regards to that concluded that the project that was submitted prior to the zoning change, such that the planned development had “vested” against any post-submittal zoning changes by Richmond. (*Ibid.*) Based on this, the appraisal concluded that the Property was worth \$3.7 million. (*Id.* at ¶ 12.) Based on the appraisal, Plaintiffs and Dimitrios Zahariudakis, funded \$1,140,000 of the \$1,170,000 loaned to codefendants Nextbay and Utal to purchase the property. (*Id.* at ¶ 15.) Plaintiffs secured their loan by a deed of trust on the Property. (*Ibid.*) About a year later, Nextbay and Utal defaulted on the loan, failing to pay anything. (*Id.* at ¶ 18.) Plaintiffs foreclosed on the deed of trust on June 28, 2023. (*Id.* at ¶ 19.) The Lawsuit was eventually decided against Nextbay and Utal, meaning the zoning change was affirmed and applicable to the Property. (*Id.* at ¶ 20.) This means that, as of the 2021 Appraisal, the Property subject to the Open Space zoning change, was only worth \$1.1 million. (*Id.* at ¶ 21.)

Discussion

Court Denies Request for Judicial Notice

Defendant requests that the Court take judicial notice of a Trustee’s Deed Upon Sale pursuant to Evidence Code § 452, subdivision (h) and *West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 803. (Request for Judicial Notice ISO Demurrer [“RJN”], p. 1:23-27.) *West* cites *Ragland v U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 194, for the proposition that “[a] court may take judicial notice of a recorded grant deed.” (*West v. JPMorgan Chase Bank, N.A., supra*, 214 Cal.App.4th at 803.) *Ragland v U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, provides that “[a] recorded deed is an official act of the executive branch, of which this court may take judicial notice,” under Evidence Code section 452(c). (*Id.*, at p. 194.)

Here, Defendant has not requested judicial notice under Evidence Code § 452(c), but rather § 452(h). (RJN, p. 1:23-27.) Evidence Code § 452(h), provides that “[j]udicial notice may be taken of . . . Facts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy.” However, a Trustee’s Deed Upon Sale is not capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy. For example, this Court has no way of fact checking this, let alone with any immediacy. Thus, judicial notice cannot be taken under §452(h).

The proper mechanism by which to request judicial notice of a recorded deed is Evidence Code § 452(c), as provided for in *Ragland*. (*Ragland v U.S. Bank National Assn.*, *supra*, 209 Cal.App.4th at 194.) Evidence Code § 452(c), provides that “[j]udicial notice may be taken of . . . **Official** acts of the legislative, executive, and judicial departments of the United States and of any state of the United States” (emphasis added).

The court may not take judicial notice of the deed pursuant to § 452(c), because the document does not appear to be an official act of the government. The document proposed for judicial notice bears the following language on three sides of the document, “Not for Official Use: This copy has not been QUALITY ASSURED.” (RJN, Exh. A.) The document has another stamp on it that states, “ACCOMODATION This Document delivered to Recorder As an accommodation only at the Express request of the parties hereto. It has not been examined as to its effect or validity.” (*Ibid.*)

The Court is hard pressed to imagine a more “official” use for a document than seeking to rely on it as evidence in a court of law to dismiss a litigant’s legal claims. Defendant, perhaps mindful of this, included a declaration in support of the demurrer that offered a testimonial explanation of this warning and an opinion that despite obtaining the document from a private database operated by a private company, that the attached record is what appears in the public record:

The Trustee’s Deed Upon Sale attached as Exhibit A to the Request for Judicial Notice bears the header “Not for Official Use: This copy has not been QUALITY ASSURED.” Nevertheless, this is a true and correct copy of the actual recorded document. I obtained this copy from the RealQuest database by CoreLogic, a subscription-based title database that provides access to county recorder records and document images throughout California, and which is relied upon by title insurers, escrow companies, and other real estate professionals for true and correct copies of recorded instruments. I do not know what the header means, but this is the document that appears in the official public record.

(Declaration of Tom R. Normandin ISO Demurrer, ¶ 3.)

The Court cannot consider evidence outside the pleading or matters that may be judicially noticed when ruling on a demurrer. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718, fn.7.) Thus, paragraph 3 of Tom R. Normandin’s declaration cannot be considered in relation to the demurrer.

As Defendant requested judicial notice under the permissive statute, Evidence Code § 452, this Court is not mandated to grant Defendant’s request for judicial notice. The request for judicial notice does not meet the requirements of either 452(c) or 452(h). Thus, the Court **DENIES** Defendant’s request for judicial notice.

Defendant's Reliance on the Full Credit Bid Rule is Unavailing

Defendant argues that the full credit bid rule bars all of Plaintiffs' claims. (Demurrer, pp. 6-7; Reply, pp. 1-2.) The full credit bid rule is described as follows.

A "full credit bid" is a bid "in an amount equal to the unpaid principal and interest of the mortgage debt, together with the costs, fees and other expenses of the foreclosure." [Citation.] If the full credit bid is successful, i.e., results in the acquisition of the property, the lender pays the full outstanding balance of the debt and costs of foreclosure to itself and takes title to the security property, releasing the borrower from further obligations under the defaulted note.

(*Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1238.)

In order to establish that the transaction at issue constituted a full credit bid, Defendant relies on the Court's taking judicial notice of the Trustee's Deed Upon Sale attached as Exhibit A to the Request for Judicial Notice. Because the Court denied the Request for Judicial Notice of the Trustee's Deed Upon Sale, Defendant's argument based on the full credit bid fails.

Plaintiffs argue that the full credit bid rule does not immunize Defendant from liability for fraud, which is an exception from the full credit bid rule. (Opposition, pp. 2-6.) While this appears to be a correct statement of the law, it cannot be evaluated at this time because the Plaintiffs' fraud claims lack the requisite specificity to overcome the demurrer, as discussed below. (*Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1251 ["We conclude that Alliance's full credit bids do not as a matter of law bar its fraud claims against defendants."].)

The court **OVERRULES** Defendant Walker's argument that the full credit bid rule bars all of Plaintiffs' claims against him.

Business & Professions Code §10232.6 Does Not Apply Here Based on the Facts Before the Court

Defendant argues that all of Plaintiffs' claims are barred by a safe harbor for real estate brokers set out in Business & Professions Code §10232.6. (Demurrer, pp. 7-8; Reply, pp. 2-3.)

Business & Professions Code § 10232.6, provides:

(a) A real estate broker, acting within the course and scope of his or her license, who arranges for or engages the services of an appraiser licensed or certified by the Office of Real Estate Appraisers for the applicable transaction, and delivers the resulting appraisal to the prospective lender and prospective purchaser as required by Section 10232.5, has met the broker's obligation of full and complete disclosure solely pursuant to paragraph (2) of subdivision (a) of Section 10232.5 and paragraph (2) of subdivision (b) of Section 10232.5, and is not required to provide a separate estimate of fair market value under Section 10232.5.

Thus, in sum, a real estate broker who acts within the course and scope of their license, engages the

services of an “appraiser licensed or certified by the Office of Real Estate Appraisers,” and delivers the resulting appraisal to the prospective lender and purchaser, has met their obligation of disclosure under paragraph (2) of subdivision (a) and paragraph (2) of subdivision (b) of Section 10232.5. (*Ibid.*)

Plaintiffs argue that this code section does not immunize Defendant from fraud, and that the appraisal has nothing to do with Defendant’s concealment of the Lawsuit or misrepresenting the value of the property. (Opposition, pp. 6-9.)

The flaw in Defendant’s argument is that the complaint does not allege that Defendant Walker is or was a real estate broker -- the statute applies only to real estate brokers. (Bus. & Prof. Code, § 10232.6, subd. (a); Complaint, ¶¶ 1-63.) Defendant Kenneth Walker is alleged to be “an individual, a citizen of the State of California, and at the relevant time, the principal representative of Sun.” (Complaint, ¶ 2(d).) Even if the complaint did allege that Defendant was a real estate broker, it does not allege that he was “acting within the course and scope of his or her license” when the actions giving rise to Plaintiffs claims occurred. These facts must be alleged or judicially noticed for Business & Professions Code § 10232.6 to apply. For the purposes of a demurrer, “facts not alleged are presumed not to exist.” (*Kramer v. Intuit, Inc.* (2004) 121 Cal.App.4th 574, 578.)

For the reasons stated above, the court **OVERRULES** Defendant’s argument that Business & Professions Code § 10232.6 bars Plaintiffs’ claims.

Plaintiffs’ Fraud Claim is Not Sufficiently Pled

Defendant Walker argues that Plaintiffs’ fraud claim is not pled with the requisite specificity as to him. (Demurrer, pp. 8-9; Reply, pp. 3-4.)

In general, fraud must be pled with particularity. (*Hills Transportation Co. v. Southwest Forest Ind., Inc.* (1968) 266 Cal.App.2d 702, 707.) With regard to fraud claims, pleadings must allege facts as to “‘how, when, where, to whom, and by what means the representations were tendered.’” (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.) “The requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

Plaintiffs’ response that pleading rules are not so strict as to specificity when the fraud stems from non-disclosure fails to save this cause of action because Plaintiffs allege *both* intentional misrepresentation *and* concealment as to Defendant Walker: “Sun and Walker each **intentionally misrepresented** or withheld information about the zoning change from investor-Plaintiffs so that Sun and Walker would profit from the Loan transaction.” (Complaint, ¶ 35, emphasis added.) The complaint does not contain the requisite, who, when, where, why, how, etc., for the alleged intentional misrepresentation (Complaint, ¶¶ 1-64). As to Defendant Walker, nothing specific is alleged as to what specifically he knew (over and above what was disclosed), or what misrepresentation he made, or how, when, where and by what means he failed to disclose material information. Plaintiffs must add specifics related to this allegation of intentional misrepresentation or remove it from the complaint.

The Court **SUSTAINS** Defendant's demurrer to Plaintiffs' fraud cause of action, with leave to amend.

Ruling on the Demurrer

The Court **OVERRULES** Defendant's demurrer as to the second cause of action for breach of fiduciary duty and the fourth cause of action for negligence and **SUSTAINS** Defendant's demurrer as to the third cause of action for fraud **with leave to amend**. Plaintiffs may file and serve an amended complaint within 10 days of notice of entry of this order. (CCP, §472b; CRC, rule 3.1320(g).)

12. 9:00 AM CASE NUMBER: C25-03004
CASE NAME: K. H. VS. CONTRA COSTA COUNTY
***HEARING ON MOTION IN RE: JUDGMENT ON PLEADINGS**
FILED BY: CONTRA COSTA COUNTY
TENTATIVE RULING:

Defendant Contra Costa County's motion for judgment on the pleadings is **granted without leave to amend** as to the first amended complaints filed by K.H. and C.M.

The County filed a motion for judgment on the pleadings arguing that the claims are barred by discretionary immunity under Government Code section 820.2. The County also argues that the complaint is uncertain under Code of Civil Procedure section 430.10(f).

The County filed a motion for judgment on the pleadings as to all claims asserted by Plaintiffs C.M. and K.H. Plaintiffs filed separate lawsuits in Madera County, which were consolidated. Contra Costa County was added as a DOE defendant on January 6, 2025. They answered on March 17, 2025. The cases were later transferred to this County.

Plaintiffs K.H. and C.M. included nearly identical allegations and their allegations are referred jointly as "FAC", unless otherwise specified as being from K.H.'s or C.M.'s first amended complaint. Plaintiffs allege that they were sexually abused as children while in the foster care system. K.H. alleges that she was in foster care, along with her sister C.M., starting in 1983 and that K.H. was sexually abused by the foster father from 1985 to 1993. (K.H. FAC ¶23.) Similarly, C.M. alleges that she was in foster care, along with her sister K.H., starting in 1983 and that C.M. was sexually abused by the foster father from 1983 to 1993. (C.M. FAC ¶23.) Plaintiffs allege that they reported the sexual abuse to the social worker assigned to them but they took no action, failed to conduct an investigation and the abuse continued. (FAC ¶25.)

Plaintiffs allege that children in foster care are the legal custody of the County Department of Social Services. (FAC ¶2.) Plaintiffs allege that the County owed a duty of care to Plaintiffs to ensure the safety of children in foster care, Welfare and Institutions Code section 16000.1(a). (FAC ¶10.) It is alleged that the County had "a non-delegable duty" to use reasonable care in the investigation, licensing, supervision, and/or monitoring of foster care facilities, homes, and/or families with whom it placed foster children, and to develop or implement programs, guidelines, procedures and/or training to prevent the abuse of foster children placed within foster care facilities, homes and/or families."